The economy whose 50 per cent or more produce value comes from the tertiary sector is known as the service economy. First lot of such economies in the world were the early industrialised economies. The tertiary sector provides livelihood to the largest number of people in such economies. In the last decade (2003-04 to 2012-13), growth has increasingly come from the services sector[*], whose contribution to overall growth of the economy has been 65 per cent, while that of the industry and agriculture sectors has been 27 per cent and 8 per cent respectively.

By the end of the 19th century it was a well-established fact, at least in the western world, that industrial activities were a faster way to earn income in comparison to agrarian activities. The Second World War had established the fact for the whole world—and almost every country started their preparation for the process of industrialisation. As country after country successfully industrialised, a pattern of the population shift from one to another sector was established, which was known as the ***stages of growth*** of an economy.[7] With the intensification of industrialisation, dependency on primary sector for livelihood decreased and dependency on secondary sector increased consistently. Similarly, such economies saw a population shift from the secondary to the tertiary sector—and these were known as the 'post-industrial' societies or the service societies. Almost the whole Euro-America falls under this category—these economies are having over 50 per cent of their total produce value being contributed by their tertiary sectors and over half of the population depends on the sector for their livelihood. Many other countries which started industrialisation in the post-war period did show abberations in this shift of the population and the income—India being one among them.

IDEA OF NATIONAL INCOME

Income is probably the most frequently used term of economics, used by experts and lay masses. Income level is the most commonly used tool to determine the well-being and happiness of the nations and their citizens. This remains true today also, even if we know that 'income' is not an exhaustive idea to know about the well-being of the society. There has been